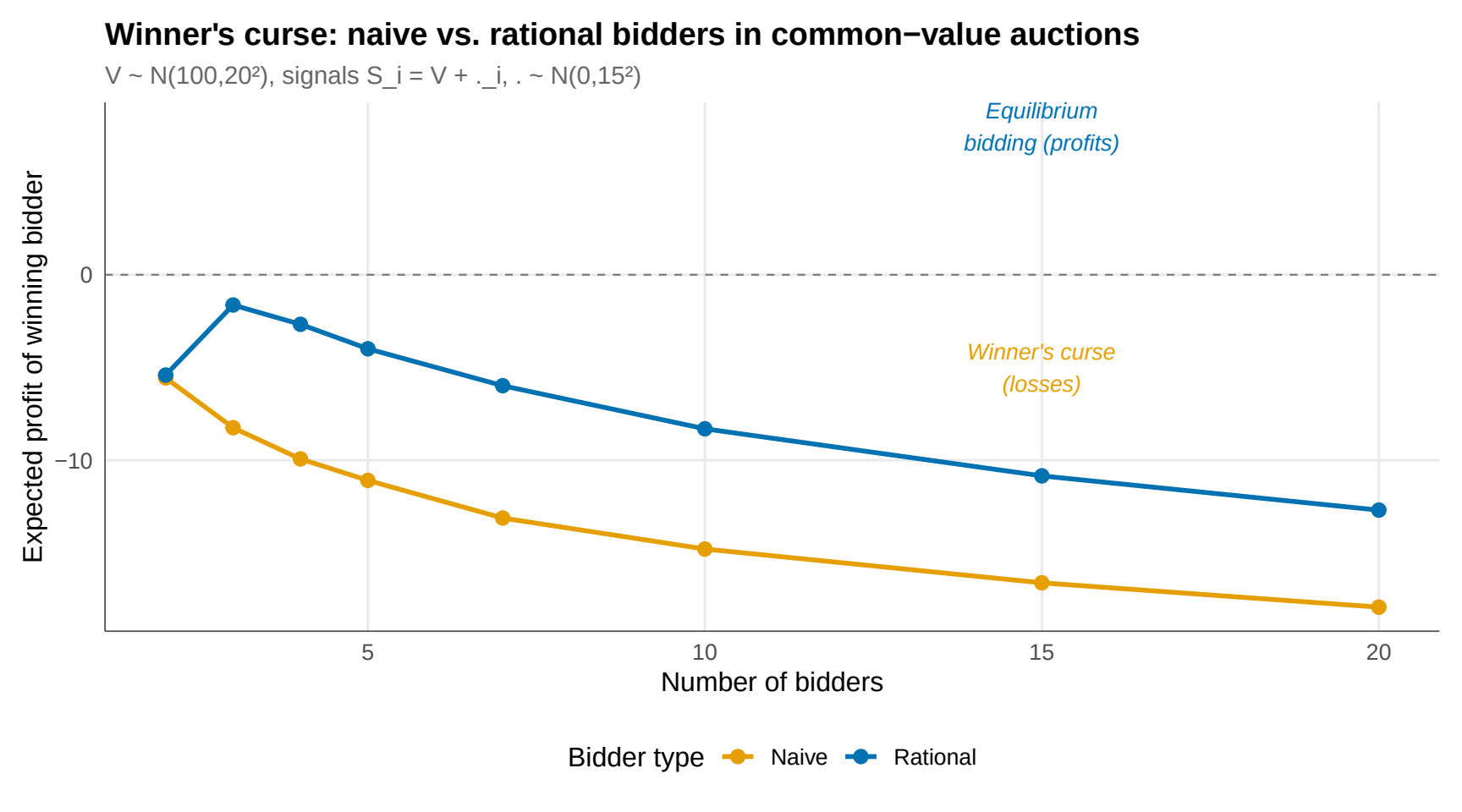
Winner's curse: naive vs. rational bidders in common−value auctions
V ~ N(100,20²), signals S_i = V + ._i, . ~ N(0,15²)
Equilibrium
bidding (profits)
Winner's curse
(losses)
Expected profit of winning bidder
0
−10
5
10
15
20
Number of bidders
Bidder type
Naive
Rational